

Unit 2: RELATIONS OF PARTNERS

PART I: RELATION OF PARTNERS TO ONE ANOTHER (Sections 9 – 13, 17)

1. Absolute Statutory Duties (Sections 9 & 10)

These duties form the bedrock of mutual agency and cannot be altered or excluded by any contract between the partners.

💡 General Duties (Section 9):

- **The Principle:** Partners are **legally bound to carry on the business** of the firm to the **greatest common advantage**.
- They must be **just and faithful to one another** and render true accounts and full information regarding all things affecting the firm to any partner or their legal representative.

🔑 The key elements

- **Greatest Common Advantage:** Every partner must carry on the business of the firm to the greatest common advantage of all partners.
- **Utmost Good Faith:** A partner must observe complete good faith in all dealings with co-partners. (*uberrimae fidei*)
- **Full Disclosure:** Partners must render true accounts and full information of all things affecting the firm to any partner or his legal representative.
- **Accounting Duty:** Where one partner keeps the accounts, he is, *prima facie*, the proper person to explain them.

Example: In a sale/purchase of a share in the business between partners, if one partner knows the accounts better than the other, he must disclose all material facts to the other.

💡 Duty to Indemnify for Fraud (Section 10):

The Principle: Every partner **must indemnify the firm for any loss caused to it by their fraud** in the conduct of the business.

🔑 The key elements

- A partner who commits fraud in the conduct of the firm's business must **make good** the loss caused by his misconduct.
- The co-partners are entitled, between themselves, to throw the **entire consequence of the fraud** onto the guilty partner.

Determination of Mutual Rights by Contract (Section 11)

- Mutual rights and duties may be fixed by **contract** — **express or implied** by a course of dealing.
- Such contract can be varied by **consent** of all partners (express or implied).
- **Agreements in Restraint of Trade:** Despite Section 27 of the Indian Contract Act, 1872 (which voids restraint-of-trade agreements generally), a **partnership contract may validly restrain a partner from carrying on any business other than the firm's while he remains a partner**. This is a statutory exception to Section 27.

Conduct of the Business (Section 12)

Unless modified by a specific contract to the contrary, the default rules governing management are:

Right	Explanation
(a) Take part in business	Every partner can participate ; management powers are co-extensive among partners
(b) Attend diligently	Every partner is bound to attend diligently to his duties
(c) Decide by majority on ordinary matters	Majority decides routine differences; but no change in the nature of business without consent of all partners
(d) Inspect books of Accounts	Every partner (active or sleeping) can access, inspect, and copy firm's books — must be exercised bona fide i.e. in good faith.
(e) Heirs' access on death	Legal heirs/representatives of a deceased partner have a right to access and inspect firm's books

 **Key Case Law:** A partner wrongfully excluded from participation in management can seek **injunction from the Court restraining other partners**, and also has remedies like a suit for dissolution or a suit for accounts without dissolution.

★ **Important Distinction:** The majority rule under (c) applies only to ordinary matters.

A fundamental **change in the nature of the business itself requires unanimous consent** — majority cannot override this.

Mutual Rights and Liabilities (Section 13) — Subject to Contract

1. **No Remuneration [Section 13(a)]:** A partner is **not entitled to receive remuneration** for taking part in the business. It can **only be claimed if there is an express agreement** or a continuous usage/custom of the firm to pay it.
2. **Equality of Profits/Losses [Section 13(b)]:** Partners **share profits equally (absent agreement) and contribute equally to losses**. Burden of proving unequal shares lies on the party alleging it.
3. **No necessary connection between profit-share ratio and capital-contribution ratio**
4. **Interest on Capital [Section 13(c)]:** payable only out of profits, and only if:
 - (i) express agreement, or
 - (ii) partnership practice/trade custom, or
 - (iii) statutory provision

5. **Interest on Advances [Section 13(d)]:** If a partner makes a payment or advance beyond the agreed capital subscription for business purposes, they are entitled to interest @ 6% per annum.

Note: interest on capital stops on dissolution, but interest on advances continues even after dissolution up to the actual date of payment.

 Right to Indemnity [Section 13(e) & (f)]:

Firm's Duty to Partner: Firm must indemnify a partner for payments/liabilities incurred

(i) in ordinary/proper conduct of business, and

(ii) in an emergency to protect the firm from loss (prudent-person standard)

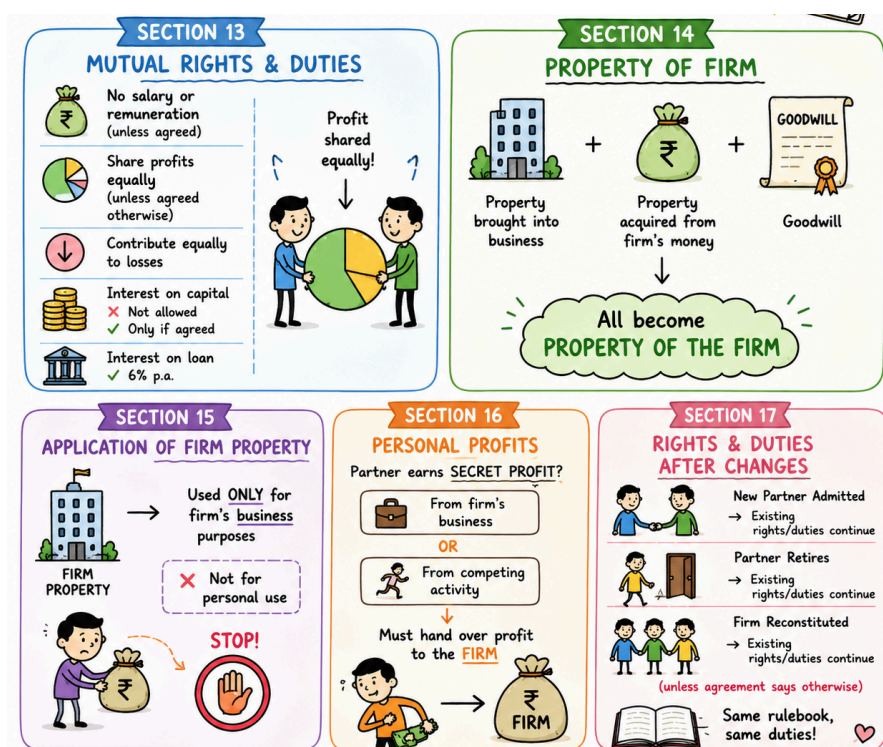
Partner's Duty to Firm: A partner must indemnify the firm for loss caused by his wilful neglect

 Rights & Duties After a Change in the Firm (Section 17)

Reconstitution [Section 17(a)]: When a change occurs in the constitution of a firm, the mutual rights and duties of the partners in the reconstituted firm remain the same as they were immediately before the change, so far as may be.

Expiry of Fixed Term [Section 17(b)]: If a firm constituted for a fixed term continues to carry on business after the term expires, the rights and duties remain the same, structured as a partnership at will.

Additional Undertakings [Section 17(c)]: If a firm formed for a specific adventure or undertaking carries out other adventures, the mutual rights and duties remain the same as the original agreement.



PART 2 PARTNERSHIP PROPERTY AND PERSONAL PROFITS (Sections 14 – 16)

1. Partnership Property (Section 14)

Also called: partnership property / partnership assets / joint stock / common stock / joint estate.

What is Included?	1. All property, rights, and interests originally brought into the common stock by the partners as their contribution. 2. All property acquired or purchased by or for the firm, or in the course of business. 3. The Goodwill of the business.
Property of a Partner vs. Firm Property:	The mere fact that property belonging to a single partner is used for firm purposes does not make it partnership property. It requires an agreement to convert separate property into partnership property.

Point	Rule
Test for "firm property"	Depends on real intention/agreement of partners — mere use of a partner's personal property for firm purposes does not automatically make it firm property
Converting personal → firm property	Possible by agreement at any time; if in good faith, binding on partners and firm's creditors
Goodwill	Treated as firm property (subject to contract); on dissolution, every partner has a right (absent contrary agreement) to have goodwill sold for the benefit of all partners
Restraint on seller of goodwill	A partner selling goodwill can agree not to carry on a similar business within specified time/area — valid despite Section 27 of Contract Act, if restrictions are reasonable

2. Application of Property & Personal Profits (Sections 15 & 16)

1. Firm property must be **held and used exclusively for the purposes of the firm**.
2. No individual partner has **proprietary interest** in specific firm assets during the subsistence of partnership — only a **right to profit-share** and to ensure assets are used for firm's business.

3. Personal Profits Earned by Partners (Section 16): Subject to Contract

(a) If a partner derives **personal profit from any firm transaction**, or from use of firm property/business connection/firm name → **must account for and pay it to the firm**.

(b) If a partner carries on a **competing business of the same nature** → **must account for and pay all profits** made in that business to the firm.

Eg (Competing Business): A, B, C, D import and sell salt in partnership. A secretly conducts the same trade on his own account → A is liable to account to the firm for those profits.

PART 3: RELATIONS OF PARTNERS TO THIRD PARTIES (Sections 18 to 27)

1. Partner as an Agent (Section 18)

1. A partner is the agent of the firm for purposes of its business.
2. A partner has a dual character: principal (acting for himself) + agent (acting for other partners).
3. Key distinction from a mere agent: a partner has a community of interest in the property, business, and liabilities of the firm — a mere agent does not.
4. This agency rule applies only to acts done for firm business — not to dealings purely between partners themselves.

2. Implied Authority & Statutory Restrictions (Section 19 & 22)

Implied Authority (Section 19):

The **act of a partner done to carry on**, in the usual way, **business of the kind** carried on by the firm, **binds the firm**.

Mode of Binding (Section 22):

For an **act/instrument to bind the firm**, it must be **done/executed**:

- In the **firm name**, OR
- In any manner expressing or implying an **intention to bind the firm**.

Three conditions for implied authority to operate (combining Sections 19(1) & 22):

Condition 1: Act relates to the **usual business of the firm**

Condition 2: Act is done in the **normal/usual way of conducting that business**

Condition 3: Act is **done in the firm's name** or otherwise expressing intent to bind the firm

 **Acts NOT within implied authority (Section 19(2)) — absent contrary trade usage/custom:**

- a. Submit a business dispute to arbitration.
- b. Open a bank account on behalf of the firm in their own name.
- c. Compromise or relinquish any claim or portion of a claim by the firm.
- d. Withdraw a legal suit or proceeding filed on behalf of the firm.
- e. Admit any liability in a suit or proceeding against the firm.
- f. Acquire immovable property on behalf of the firm.
- g. Transfer immovable property belonging to the firm.
- h. Enter into partnership on behalf of the firm.

Note: The firm is **not liable to a third party** for these restricted acts — regardless of whether the third party knew of the restriction or not.

⚠️ FOR GENERAL COMMERCIAL PARTNERSHIP:

Acts **WITHIN implied authority** (general commercial partnership):

- Pledge or sell partnership property
- Buy goods on account of the partnership
- Borrow money, contract debts, pay debts on the firm's account
- Draw, make, sign, endorse, transfer, negotiate negotiable instruments (promissory notes, bills of exchange, cheques) in the firm's name

3. Extension and Restriction of Authority (Section 20 & 21)

💡 Restrictions Against Third Parties (Section 20):

Implied authority may be **extended or restricted by contract between all partners** (not by one partner or even a majority — **unanimous consent required**).

A restriction binds a third party only if:

- The **third party knows of the restriction**, and
- The **third party does not know he is dealing with a partner in the firm** — (read with the proviso: if the third party is unaware of the restriction, the firm remains liable)

💡 Authority in an Emergency (Section 21):

A partner has authority, in an **emergency**, to do all acts a person of **ordinary prudence** would do to protect the firm from loss — and such acts **bind the firm**.

4. Admissions and Notices (Sections 23 & 24)

💡 Effect of Admissions by a partner (Section 23)

- Admissions/representations by a partner **bind the firm only if** they relate to partnership business and are made in the **ordinary course of business**.
- Does **not** bind the firm if the partner's **authority was limited and** the other party knew of that restriction.
- Such admissions are evidence **against the firm when used by third parties** — they may not have the same effect in disputes **between partners themselves**.

Example: X tells Z (a customer) that a spare part suits Z's motorcycle. Partner Y is unaware. The part is unsuitable and damages the bike → **Both X and Y** are liable to Z.

**(Remember here admissions means statements made by a partner in course of business)*

💡 Effect of Notice to Acting Partner (Section 24)

- Notice to a partner who **habitually acts** in the firm's business, on matters relating to firm affairs, **operates as notice to the firm** — except in case of fraud on the firm by/with consent of that partner.

Requirements:

The notice must be:

- **Actual** (not constructive)
- Received by a **working partner**, not a sleeping partner
- **Related to the firm's business**

Example: R (partner, dealing in second-hand goods) buys a car for the firm, later learns it's stolen. P and Q (co-partners) are unaware → **all partners are liable** to the real owner.

The Fraud Exception: This rule fails completely in the case of a fraud on the firm committed by or with the consent of that acting partner. If a partner conspires with a seller to hide defects in goods bought for the firm, the partner's knowledge is not imputed to the firm, and the innocent co-partners can reject the goods.

5. Third-Party Liabilities (Sections 25 – 27)

Section	Rule
25 — Liability for acts of the firm	Partners are jointly and severally liable to third parties for all acts within the scope of express/implied authority. Liability attaches only for acts done while the person was a partner
26 — Liability for wrongful acts of a partner	Firm is liable , to the same extent as the partner, for loss/injury caused to a third party by a partner's wrongful act done 1. in the ordinary course of business, and 2. with authority of the partners
27 — Liability for misapplication	Clause (a): partner receives money/property using his authority and misapplies it — <i>firm liable even if money never reached firm's custody.</i> Clause (b): money/property has come into firm's custody and is then misapplied by any partner — <i>firm liable</i>

Example (Section 25): Partners at the time of a trademark infringement remain liable for damages even if the damages materialize **after dissolution** — what matters is whether they were partners when the wrongful act occurred.

Example (Section 26): One of two partners in a coal mine, acting as manager, negligently failed to fence the mine shaft, injuring a workman → **both partners** held liable.

Example (Section 27): A, B, C run a car park. P parks his car; A wrongfully sells it to a stranger → **firm is liable** for A's act.

6. Rights of Transferee of a Partner's Interest (Section 29)

A partner's share is **transferable** (sale, mortgage, charge) like any other property — but the **transferee does not** step into the original partner's shoes.

Phase	Transferee's Rights
During continuance of partnership	✗ Cannot interfere in business conduct ✗ Cannot require accounts ✗ Cannot inspect firm's books ✓ Can only receive the share of profits of the transferring partner, and must accept the partners' agreed account of profits (cannot challenge it)
On dissolution / retirement of transferring partner	✓ Entitled to the transferring partner's share of firm assets ✓ Entitled to an account from the date of dissolution, to ascertain his share

 **Important:** A partner **cannot**, merely by transferring his interest, make the transferee a partner in his place — that requires the **consent of all partners** (Section 31).

5. Minors Admitted to Benefits of Partnership (Section 30)

- A minor cannot be a *partner* (his contract is **void ab initio**, not voidable) but **can be admitted to the benefits of partnership** with consent of all partners.
- However, with the **unanimous consent of all partners**, a minor may be **admitted exclusively to the benefits** of an existing partnership.

★ Rights of Minor

While still a minor his rights are:

- Right to agreed **share of profits & property**
- Right to **inspect/copy accounts** (NOT day-to-day management)
- Can **sue for accounts/share** — **only on severing connection**, not otherwise
- **Liability limited** to his share in firm's profits/property (no personal liability)
- Cannot be declared insolvent; **if firm is insolvent, his share vests in Official Receiver/Assignee**

And **on attaining majority** — **within 6 months** (or from when he learns of admission, whichever later) he must decide whether to become a partner or to resign.

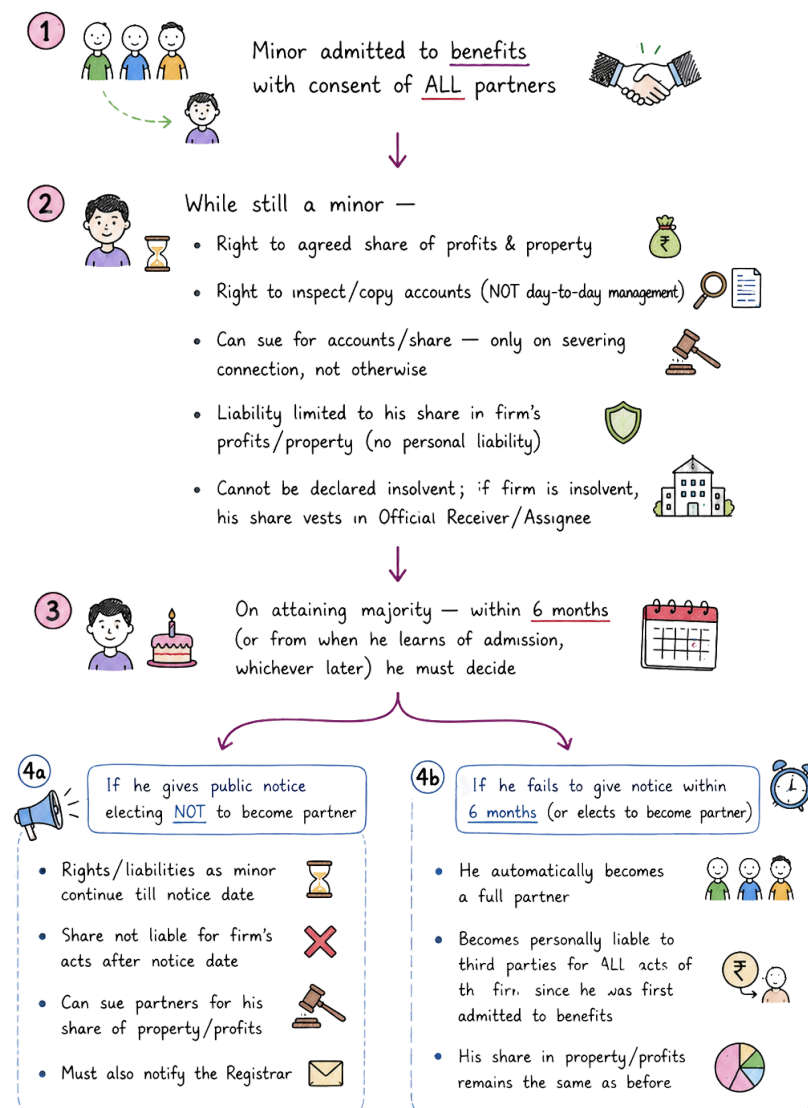
★ Legal Consequences of the Choice [Sections 30(7) & 30(8)]

Scenario I: He Elects to Become a Partner (or stays silent for 6 months):

- They become **personally liable** to third parties for all acts of the firm done since the date **they were first admitted to the benefits of the partnership**. This results in retrospective personal liability.
- Their **share** in the property and profits remains the **same as their minor's share**.

Scenario II: He Elects Not to Become a Partner:

- Their **rights and liabilities continue** to be those of a minor up to the date of the public notice.
- Their **share is not liable** for any acts of the firm **done after the date of the notice**.
- They are **entitled to sue the partners** for their share of the property and profits.



Flowchart of minor's benefits and legal consequences of his choice

PART 4: RECONSTITUTION OF A FIRM (SECTIONS 31 - 35)

(i) Introduction of a New Partner (Section 31)

	Requires consent of all existing partners (subject to contract and Section 30 on minors).
	New partner's liability ordinarily starts from the date of admission , unless he agrees to take on prior liabilities.
	Old debts of the firm pass to him only through Novation — i.e., the new firm assumes liability AND the creditor agrees to accept the new firm as debtor (discharging old partners). A mere internal agreement between partners is not enough to bind creditors.
	Two-partner firm exception: Section 31 doesn't apply to a 2-partner firm, since death of either automatically dissolves it.

(ii) Retirement of a Partner (Section 32)

 A partner may retire by: • Consent of all other partners; or • As per an express agreement; or • By giving written notice (if partnership is "at will").	
Rule	Detail
Continuing liability	A retiring partner remains liable (along with continuing partners) to third parties for firm acts done before retirement — until public notice of retirement is given
Exception	Retired partner is not liable to a third party who deals with the firm without knowing he was ever a partner
Discharge from past liability	Possible via agreement between the retiring partner, the third party, and partners of the reconstituted firm — may also be implied from a course of dealing between the third party and the reconstituted firm after the third party learns of the retirement
Who can give notice	Retired partner himself, or any partner of the reconstituted firm

Vishnu Chandra v. Chandrika Prasad (Supreme Court):

Held that a clause allowing a partner to "dissociate" from the partnership comprehends retirement; retirement does **not** end the partnership business.

Example: Mere retirement of a partner who happened to be the **tenant** of the firm's business premises does not by itself transfer tenancy rights to the remaining partners, even though he ceases to have any interest in the business.

(iii) Expulsion of a Partner (Section 33)

	Condition 1: Power of expulsion must exist in a contract between partners
	Condition 2: Power exercised by a MAJORITY of partners
	Condition 3: Exercised in GOOD FAITH, How to know if power is exercised in Good Faith, 3 more conditions/test: i. Expulsion is in the interest of the partnership ii. Partner being expelled is served with notice iii. He is given an opportunity of being heard

If **any** condition is missing → expulsion is **null and void**, and does **not** dissolve the firm (it continues as before).

Eg: A, B, C are partners. A's wife is hurt in a personal fight involving B's wife; A persuades C to expel B **without notice or hearing** → Expulsion is **invalid** (fails good-faith test) — B can claim reinstatement, or sue for his share of capital/profits.

- Sections 32(2), (3), (4) — **relating to liability to third parties and notice** — apply equally to an **expelled** partner as to a retired partner.

(iv) Insolvency of a Partner (Section 34)

Effect	Detail
Ceases to be partner	From the date of the adjudication order — regardless of whether firm dissolves
Estate's liability	Not liable for firm's acts done after the adjudication date (if firm continues by agreement)
Firm's liability	Firm not liable for insolvent partner's acts done after adjudication date
Dissolution	Ordinarily dissolves the firm — but partners can agree among themselves that it won't

(v) Liability of Estate of Deceased Partner (Section 35)

- Death of a partner **ordinarily dissolves** the partnership — but partners can agree the firm continues among survivors (this agreement is **not possible** if the firm has only 2 partners — death of either automatically dissolves a 2-partner firm).
- Deceased partner's estate is **not liable** for firm acts done **after** death.
- **No public notice required** on death (unlike retirement).

Example: Firm ordered goods during X's lifetime; goods delivered after X's death → X's estate is **not liable** (no debt existed during X's lifetime); creditor's remedy lies only against surviving partners and firm assets in their hands.



CHANGES IN THE FIRM

Introduction, Retirement, Death, Insolvency & Expulsion of a Partner

★ IMPORTANT!

These events change the firm but do not always dissolve it.

1 INTRODUCTION OF A PARTNER

A new partner is admitted into the firm with the consent of all existing partners.



Key Points

- ✓ Admitted as per agreement.
- ✓ Shares profits & losses as per new profit sharing ratio.
- ✓ Existing rights & duties continue (Section 17).

2 RETIREMENT OF A PARTNER

A partner may retire with the consent of all partners.



Key Points

- ✓ He conveys his intention to retire.
- ✓ Firm continues with remaining partners.
- ✓ He is entitled to his share in the profits up to the date of retirement.
- ✓ Existing rights & duties continue (Section 17).

3 DEATH OF A PARTNER

Death of a partner ordinarily dissolves the partnership.



Key Points

- ✓ Partners can agree the firm continues among survivors. (Not possible if only 2 partners - death of either automatically dissolves a 2-partner firm).
- ✓ Deceased partner's estate is NOT liable for firm acts done after his death.
- ✓ No public notice required on death (unlike retirement).

4 INSOLVENCY OF A PARTNER

When a partner becomes insolvent, he cannot continue in the firm.



Key Points

- ✓ He is deemed to have retired from the firm.
- ✓ Firm continues with remaining partners.
- ✓ He is entitled to his share in the profits up to the date of insolvency.



Declared insolvent by a competent court.

5 EXPULSION OF A PARTNER

A partner can be expelled on valid grounds with the consent of other partners as per the agreement.



Key Points

- ✓ Grounds must be specified in the Partnership Deed.
- ✓ Expelled partner loses all rights in the firm.
- ✓ He is entitled to his share in the profits up to the date of expulsion.



REMEMBER!

Change in partners ≠ Dissolution of firm (except as per agreement)

AT A GLANCE

INTRODUCTION



New partner joins with consent.

RETIREMENT



Partner leaves with consent.

DEATH



Firm continues. (if agreed). Estate not liable for acts after death. No public notice.

INSOLVENCY



Partner retires. Firm continues.

EXPULSION



Removed for valid reasons.

SECTION REFERENCE

- Introduction - Sec 31
- Retirement - Sec 32
- Death - Sec 33
- Insolvency - Sec 34
- Expulsion - Sec 35

PART 5: RIGHTS OF OUTGOING PARTNERS (SECTIONS 36 & 37)

1. Right to Carry on Competing Business (Section 36)

An outgoing partner **may** carry on a competing business and advertise it, but (subject to contract to the contrary) **may not**:

	Restriction
(a)	Use the firm name
(b)	Represent himself as carrying on the business of the firm
(c)	Solicit customers who were dealing with the firm before he left

Restraint-of-trade agreements on ceasing to be a partner are valid (despite Section 27, Contract Act) if the **restrictions are reasonable** as to time and place.

2. Right to Share Subsequent Profits (Section 37)

Where a partner dies/ceases to be a partner, and the continuing partners carry on business with firm property **without final settlement of accounts** — absent contrary agreement, the outgoing partner/his estate may **choose**:

OPTION A	Share of profits attributable to the use of his share of firm property
OR	
OPTION B	Interest @ 6% per annum on the amount of his share in the property

 **Proviso:** If partners had a contractual **option to purchase** the outgoing/deceased partner's interest, and that option is **duly exercised**, **no further share of profits is claimable**. But if the purchasing partner **doesn't comply** with the option's terms in all material respects, **he remains liable** to account under this section.

Eg 1: A (entitled to $\frac{3}{8}$ of property/profits) goes bankrupt; B and C continue business without settling A's account → A's estate gets $\frac{3}{8}$ of profits from the date of bankruptcy till final liquidation.

Eg 2: C retires after selling his share; A and B fail to pay the agreed value → the value becomes a **pure debt** from the date C ceased to be a partner, recoverable with interest.

3. Revocation of Continuing Guarantee by Change in Firm (Section 38)

A **continuing guarantee** given to a firm, or to a third party regarding the firm's transactions, in absent contrary agreement is -- **automatically revoked as to future transactions** from the date of **any change** in the firm's constitution (admission, retirement, death, etc.).

CONSOLIDATED REFERENCE TABLE: Rights / Duties / Implied Authority

Rights of a Partner	Duties of a Partner	Within Implied Authority	Beyond Implied Authority
Take part in conduct of business	Carry on business to greatest common advantage	Purchase/sell goods	Submit dispute to arbitration
Express opinion before majority decision	Be just and faithful to co-partners	Settle accounts	Open bank account in own name
Access/inspect/copy books	Render true accounts & full information	Receive payment for firm	Compromise/relinquish a claim
Share profits & property	Attend diligently without remuneration	Engage servants for firm	Withdraw a suit/proceeding
Interest on capital (if applicable)	Not carry on competing business if restrained	Engage a lawyer to defend firm	Admit liability in a suit
Interest on advances (6% p.a.)	Account for profits from competing business	Borrow money for firm's business	Acquire immovable property
Be indemnified by firm	Account for secret profits	Pledge firm's goods as security	Transfer immovable property
Not be expelled without good-faith process	Not assign his share unilaterally	Draw/accept/endorse negotiable instruments in firm's name	Enter into partnership on firm's behalf
Can object introduction of new partner	Contribute equally to losses		
Retire; carry on competing business after retiring	Indemnify firm for loss from willful neglect/fraud		
Share subsequent profits as outgoing partner			
Apply for Dissolution			